

WHAT ARE CHART PATTERNS?

A Beginner's Guide to
Reading Price Shapes in Crypto

Beginner Level



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Who this guide is for

This guide is for people who can read a basic candlestick chart and understand support, resistance and trends. If those are new to you, start with our free beginner guides on bassammalik.com first.

Chart patterns show how traders have behaved in the past. They do not predict the future and they are not trading signals on their own. Many patterns fail, so every pattern in this guide comes with what confirmation to look for.

What are chart patterns?

A chart pattern is a recognisable shape that price forms over many candles. Traders study these shapes because they often appear before certain kinds of moves.



In the chart above, price keeps hitting the same ceiling while the dips get shallower. The shape forms a triangle, and price eventually breaks out of it. That is a chart pattern.

Reversal patterns

Suggest the current trend may be ending and price may turn the other way. Examples: double top, head and shoulders.

Continuation patterns

Suggest the market is pausing before carrying on in the same direction. Examples: flags, pennants, some triangles.

Chart patterns vs candlestick patterns

Candlestick patterns are made of one to three candles. Chart patterns are much bigger, often 15 to 50 candles or more, and show the battle between buyers and sellers over a longer period.

The three parts of every pattern

Almost every chart pattern can be broken down into the same three parts. If you understand these, you can read any pattern, even one you have not seen before.



1. The shape

Price forms a recognisable structure, such as two lows at the same level in the double bottom above.

2. The key line

Every pattern has a line that matters most, such as a neckline, a flat top or a trendline. This is where the decision happens.

3. The breakout

The pattern is only complete when a candle closes clearly beyond the key line. Before that, it is just a possible pattern.

The most important rule

A pattern that has not broken its key line is not finished. Many shapes look like a pattern halfway through and then turn into something else. Waiting for the breakout close avoids most beginner mistakes.

Double top and double bottom

Two of the most common reversal patterns. Price tests the same level twice, fails to get through, and then turns around.

Double top

BEARISH REVERSAL



WHAT IT LOOKS LIKE

After an uptrend, price makes two peaks at about the same level, with a dip between them. The low of that dip is the neckline.

WHAT IT MAY SUGGEST

Buyers tried twice to push higher and failed. Selling pressure may be taking over.

CONFIRMATION TO LOOK FOR

A candle close below the neckline. Price often comes back to retest the neckline from below.

Double bottom

BULLISH REVERSAL



WHAT IT LOOKS LIKE

After a downtrend, price makes two lows at about the same level, with a bounce between them. The high of that bounce is the neckline.

WHAT IT MAY SUGGEST

Sellers tried twice to push lower and failed. Buying pressure may be taking over.

CONFIRMATION TO LOOK FOR

A candle close above the neckline, ideally with higher volume.

Example

Bitcoin rises to around \$90,000, pulls back to \$85,000, then rallies to \$90,000 again and fails. If it then closes below \$85,000, that is a double top. Until that close, it is only a possible double top.

Head and shoulders

A three-peak reversal pattern and one of the best known. The middle peak (the head) is the highest, with a lower peak on each side (the shoulders).

Head and shoulders

BEARISH REVERSAL



WHAT IT LOOKS LIKE

After an uptrend: a peak (left shoulder), a higher peak (head), then a lower peak (right shoulder). The lows between them form the neckline.

WHAT IT MAY SUGGEST

The uptrend is losing strength. The right shoulder is a lower high, which is an early sign of a trend change.

CONFIRMATION TO LOOK FOR

A candle close below the neckline. A retest of the neckline from below is common.

Inverse head and shoulders

BULLISH REVERSAL



WHAT IT LOOKS LIKE

After a downtrend: a low, a lower low (the head), then a higher low. The highs between them form the neckline.

WHAT IT MAY SUGGEST

The downtrend is losing strength. The right shoulder is a higher low, an early sign that buyers are returning.

CONFIRMATION TO LOOK FOR

A candle close above the neckline, ideally with higher volume.

The neckline does not have to be flat

On real charts the neckline is often slightly tilted. Draw it through the two lows (or highs) between the shoulders and the head, and watch for a close beyond that line.

Triangles

Triangles form when price swings get smaller and smaller, squeezing into a point. The breakout from the triangle often leads to a larger move.

Ascending

BULLISH CONTINUATION



WHAT IT LOOKS LIKE

A flat top and rising lows.

WHAT IT MAY SUGGEST

Buyers are stepping in at higher prices each time. Often breaks upward.

CONFIRMATION TO LOOK FOR

A close above the flat top.

Descending

BEARISH CONTINUATION



WHAT IT LOOKS LIKE

A flat bottom and falling highs.

WHAT IT MAY SUGGEST

Sellers are stepping in at lower prices each time. Often breaks downward.

CONFIRMATION TO LOOK FOR

A close below the flat bottom.

Symmetrical

EITHER DIRECTION



WHAT IT LOOKS LIKE

Falling highs and rising lows that meet in the middle.

WHAT IT MAY SUGGEST

Neither side is in control yet. It can break either way.

CONFIRMATION TO LOOK FOR

A close outside either line. Do not guess the direction.

Ascending and descending triangles can fail

An ascending triangle usually breaks up, but not always. The flat side is the line to watch, but always wait for the close. If price breaks the other side of the triangle instead, the pattern has failed.

Flags and pennants

Short pauses after a strong move. Price rests for a few candles, then often continues in the same direction. The strong move before the pause is called the **pole**.

Bull flag

BULLISH CONTINUATION



WHAT IT LOOKS LIKE

A sharp rise, then a small channel drifting slightly down.

WHAT IT MAY SUGGEST

Buyers are resting, not leaving. The uptrend may continue.

CONFIRMATION TO LOOK FOR

A close above the top of the flag.

Bear flag

BEARISH CONTINUATION



WHAT IT LOOKS LIKE

A sharp drop, then a small channel drifting slightly up.

WHAT IT MAY SUGGEST

Sellers are resting, not leaving. The downtrend may continue.

CONFIRMATION TO LOOK FOR

A close below the bottom of the flag.

Pennant

CONTINUATION



WHAT IT LOOKS LIKE

A sharp move, then a small triangle instead of a channel.

WHAT IT MAY SUGGEST

Like a flag, a short pause. Usually continues in the direction of the pole.

CONFIRMATION TO LOOK FOR

A close outside the pennant in the direction of the pole.

Flags should be small and short

A good flag is small compared to the pole and lasts only a few candles. If the pullback becomes large or long, it is no longer a flag, and the strong move may already be over.

Wedges

Wedges look like triangles, but both lines slope in the same direction. They often signal that the current move is running out of strength.

Rising wedge

BEARISH REVERSAL



WHAT IT LOOKS LIKE

Price rises, but the lows rise faster than the highs, so the two lines squeeze together.

WHAT IT MAY SUGGEST

Each push higher gains less ground. Buyers are tiring, and price often breaks down.

CONFIRMATION TO LOOK FOR

A close below the lower line.

Falling wedge

BULLISH REVERSAL



WHAT IT LOOKS LIKE

Price falls, but the highs fall faster than the lows, so the two lines squeeze together.

WHAT IT MAY SUGGEST

Each push lower gains less ground. Sellers are tiring, and price often breaks up.

CONFIRMATION TO LOOK FOR

A close above the upper line.

Wedge or channel?

If the two lines stay the same distance apart, it is a channel, not a wedge. A wedge must narrow. That narrowing is what shows the move losing strength.

Breakouts and fakeouts

A pattern is only useful when it breaks out. But not every break is real. A **fakeout** is when price pokes through the key line and then falls straight back.

Fakeout

TRAP



A wick pokes above the flat top, but the candle closes back inside the triangle. Price then falls. Traders who bought the wick are trapped.

Confirmed breakout

CLOSE BEYOND



A candle closes clearly above the flat top, and the next candles hold above it. This is a much stronger signal.

Signs of a stronger breakout

A candle close

Wait for the candle to close beyond the key line. A wick alone is not a breakout.

Higher volume

A breakout with more trading activity than usual shows more traders are taking part.

A retest that holds

Price often returns to the broken line. If it holds there, the breakout is more convincing. Our Support and Resistance guide covers retests in detail.

Targets and where a pattern is wrong

Traders use patterns to plan two things: roughly how far price might travel, and the point where the pattern is clearly wrong.



1 Measured move

Measure the height of the pattern, here from the lows to the neckline. Add that same distance from the breakout point. This gives a rough target area.

2 A guide, not a promise

Price may stop short of the target or go well beyond it. Treat the target as an area to watch, not a price that will be reached.

3 Invalidation

Every pattern has a point where it is clearly wrong. For a double bottom, a close below the lows means the pattern has failed.

4 Plan both before acting

Knowing the target and the invalidation point lets you judge whether the possible reward is worth the risk.

Patterns need context

The same shape can be meaningful in one place and meaningless in another. Where a pattern forms matters as much as the pattern itself.

Stronger setup

CLEAR CONTEXT



A double top after a clear uptrend, at a level where price has been rejected before. There is a trend to reverse.

Weaker setup

NO CONTEXT



Two small peaks in the middle of a choppy, sideways market. There is no trend to reverse, so the shape means very little.

Four things to check

1 The trend before it

Reversal patterns need a trend to reverse. Continuation patterns need a strong move before them.

2 Location

Patterns that form at major support or resistance usually matter more.

3 Timeframe

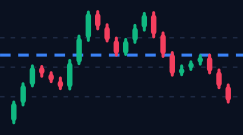
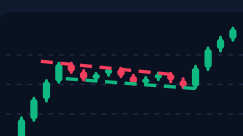
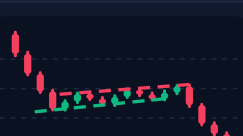
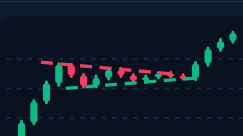
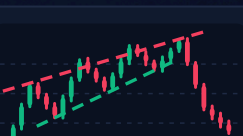
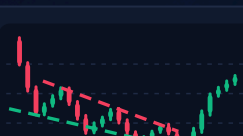
Patterns on the daily or 4-hour chart are generally more reliable than on 1-minute or 5-minute charts.

4 Size and clarity

A clean, obvious pattern that many traders can see is more useful than one you have to squint to find.

Quick-reference cheat sheet

All 12 patterns from this guide on one page. Save it, or print it and keep it next to your screen.

	Double top BEARISH REVERSAL Two equal highs, break of neckline		Double bottom BULLISH REVERSAL Two equal lows, break of neckline
	Head and shoulders BEARISH REVERSAL Three peaks, middle highest		Inverse H&S BULLISH REVERSAL Three lows, middle lowest
	Ascending triangle BULLISH CONTINUATION Flat top, rising lows		Descending triangle BEARISH CONTINUATION Flat bottom, falling highs
	Symmetrical triangle EITHER DIRECTION Highs and lows squeeze together		Bull flag BULLISH CONTINUATION Sharp rise, small drift down
	Bear flag BEARISH CONTINUATION Sharp drop, small drift up		Pennant CONTINUATION Sharp move, small triangle
	Rising wedge BEARISH REVERSAL Rising, narrowing, breaks down		Falling wedge BULLISH REVERSAL Falling, narrowing, breaks up

Remember

Every pattern on this page is only complete after a candle closes beyond its key line. Until then, it is a possible pattern, not a signal.

Common beginner mistakes

Most beginners struggle with chart patterns for the same few reasons.

01 Acting before the breakout

Half-formed patterns often turn into something else. Wait for a candle to close beyond the key line.

02 Seeing patterns everywhere

If you have to force the lines to fit, it is probably not a real pattern. The best patterns are obvious.

03 Ignoring the trend

A reversal pattern needs a trend to reverse. A double top in a sideways market means very little.

04 Treating targets as promises

Measured-move targets are rough guides. Price can stop early or go much further.

05 Using tiny timeframes

Patterns on 1-minute and 5-minute charts break and fail far more often than on the daily or 4-hour chart.

06 Skipping risk management

Patterns fail often. Know your invalidation point before acting, and keep position sizes small while learning.

Before you act: a pattern checklist

Before making any decision based on a chart pattern, run through these questions. Save this page or print it and keep it next to your screen.

1 Is the pattern clear?

Would most traders see the same shape, or am I forcing it?

2 Does it fit the trend?

Is there a trend to reverse, or a strong move before a continuation pattern?

3 Has it broken out?

Has a candle closed clearly beyond the key line, not just poked through it?

4 Is volume supporting it?

Is trading activity higher than usual on the breakout?

5 Where is it wrong?

At what price is the pattern clearly invalid? Is that decided in advance?

6 Is the risk worth it?

Compared to the target area, is my possible loss small enough?

Waiting is a decision too

If the answers do not line up, the best choice is often to wait. A pattern that has not broken out yet will still be there tomorrow.

Practice plan and next steps

Spotting patterns gets easier the more charts you look at. Practise without risking money first.

1 Open a daily BTC chart

Use any free charting platform. Scroll back through the last one to two years.

2 Find three patterns

Look for the clearest examples from this guide. Draw the key lines on each one.

3 Check what happened

Did each pattern break out? Did it reach its measured target, or fail?

4 Keep a simple journal

Note each pattern, its context and the result. Over time you will see which patterns you read well.

KEEP LEARNING

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Candlestick patterns, support and resistance, trends and market structure, risk management and more, written for beginners. Use our free risk management tools on the site before you act on any pattern.

Disclaimer

This guide is for educational purposes only and is not financial advice. Cryptocurrency trading involves significant risk, and prices can be highly volatile. Chart patterns do not guarantee future price movements. Always do your own research, never invest more than you can afford to lose, and consider speaking with a qualified financial professional before making any investment decisions.